AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

Fin341

Course Title: Islamic Finance

Version C

Mid-term Examination
2024-2025 / Spring

8-April-2025

Number of Exam Pages: 3 (including this cover sheet)	**Time Allowed: 1.5 hours**

Instructions:

- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
- Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
- This is a **CLOSED** book examination. NO documents of any kind are allowed.
- You **MUST** answer the questions using only the answer booklets provided
- You **MUST** return the examination paper together with your answer booklets.
- Do **NOT** write your answers in pencil except graphs/sketches
- Students are **NOT** allowed to use any type of dictionary or mobile phones during the examina
- Students are allowed to use ***non-programmable*** calculators only (if needed).
- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

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Solve All Questions

Question 1: (15 marks)

In the MENA region, green development sector is booming, and companies' owners are fighting to reap the biggest market share. A company with high environment, social, and governance (ESG) imprint wants to take advantage of this opportunity. it engaged in a national desert development project, but they are short financing for $70,000,000. As a result, they contacted the respective bank for financing which lent them the needed $70,000,000. As per the financing agreement, the company will be charged 20% of the borrowed amount on a yearly basis, and the financing contract is signed for 1 year only.

Required

1) Is there's any sign of Riba in this case? Explain your answer.
2) Based on your answer to part 1, calculate the value of Riba.

Question 2: (20 marks)

Rashed Islamic Bank has an Investment Account (IA) based on Mudarabah contract sharing profit and loss, 73 (Islamic bank): 27% (Investment Account holders). Under the agreement of IA, Islamic banks can only use the funds for restricted or specified business activities. Green financing is one of the investments categorized under the IA contract. The Islamic bank invested $ 4,000,000 with a reputable investment company for one year with the agreement to share the profit and loss by 46% (ESG Forward Co.) and 54% (Islamic Bank). At the end of the year, the the company earned $ 550,000 in profit.

Required

1) Calculate the income distributable to the IA holders.
2) Calculate the ratio of this distributable income (calculated in part 1) to the Islamic bank investment value.

Question 3: (15 marks)

The list below shows a number of accounts (in millions of USD) used while preparing the balance sheet of Islamic Bank of Singapore:

1. Short-term trade Finance (Cash, murabaha, Salam) : 14
2. Equity capital : 10
3. Non-banking assets (property) : 22
4. Medium-term investments (ijarah, istisna') : 15

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5. Long-term partnerships (musharakah) : 22
6. Demand deposits (amanah) : 32
7. Fee-based services (jo'alah, kifala) : 5
8. Reserves : 12
9. Investment accounts (mudarabah) : 10
10. Special investment accounts (mudarabah, musharakah) : 14

Required:

Prepare the Balance sheet of Islamic Bank of Singapore based on maturity profile.

Question 4: (20 marks)

Discuss the three branches of accounting and how are they related to the business of a typical Islamic bank?

Question 5: (15 marks)

Discuss Two financial instruments can be used to purchase a car bearing in mind the client who is approaching a bank does not have much knowledge on the types of cars.

Question 6: (15 marks)

Briefly discuss the role of corporate governance in Islamic financial institutions.

END OF QUESTIONS

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